

the price went up. Being able to exit a stock at a high point was considered an art and gave one bragging rights in the office. Mr Talwar loved the highs of stock investing. However, for reasons he could not understand, his portfolio did not grow much. The high brokerage, which is the commission charged by the broker, and the frequent churn in Mr Talwar's portfolio—driven as it was by office gossip—meant that it was the broker who made all the money. The brokerage used to be in excess of 1 per cent of the transaction value in those days!

Then came the Bull Run! While his stock portfolio was meagre, the value of his house appreciated by leaps and bounds as both equity and real estate prices increased multifold in that period. But this did not mean much in terms of cash flow as he was staying in the house and had no intention of selling it. But it felt good to be a *crorepati*! Like some of his wealthier friends, he also started lending funds to real estate builders through a private network hidden from the taxman. At 2.5 per cent per month interest, it beat any other investment Mr Talwar had made in his life, and he kicked himself for not doing this earlier. The money always came back and there were always more builders to lend to.

Mr Talwar loved real estate as an asset class. All around the country people were buying property and getting richer; he didn't want to miss out. The willingness of the banks to grant home loans of up to 90 per cent of the property value meant that an appreciation of 50 per cent in the value of the property (which, as per Mr Talwar, was a given) was actually a 500 per cent return on investment. So, other than the flat he lived in Aviral Housing Society, he booked another flat in a luxury high-rise complex called Empire Apartments that was under construction in Noida. The National Capital Region was witnessing a boom—one could actually see the growth as the high-rises in Noida and Gurgaon reached for the sky. Mr Talwar was now hopeful. Finally, he thought, India had stopped whining and started shining.

One day the gravy train stopped. First came the stock market crash of 2008—between January and November of 2008—when the Nifty fell 55 per cent. The crash almost entirely wiped out Mr Talwar's stock portfolio since most of the stocks were speculative investments made on the basis of tips from